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Canyon US Real Estate Debt Fund III ("CRED III")  
Q1 2026 Investor Reporting

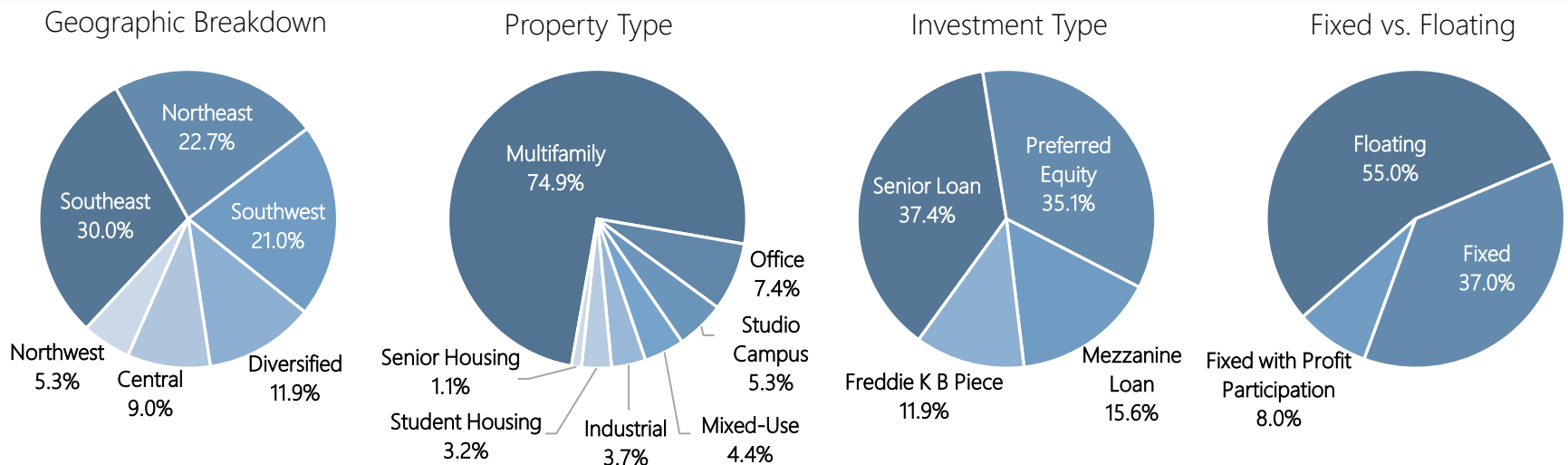
# CRED III Q1 2026 Update

## Performance

- CRED III has committed \$699.9M across 33 closed investments and 3 executed term sheets.<sup>1</sup>
- The Fund is tracking to a 9.8% weighted average current pay.<sup>2</sup>
- 4 realizations to date, returning 36.9% of capital contributions back to investors.
- Subsequent to quarter-end, CRED III signed up 2 additional term sheet investments.<sup>1</sup>

| Performance Overview                            |                   |                             |
|-------------------------------------------------|-------------------|-----------------------------|
|                                                 | December 31, 2025 | March 31, 2026 <sup>1</sup> |
| Wtd. Avg. Deal-Level Gross/Net IRR <sup>2</sup> | 14.6% / 11.1%     | 14.4% / 11.0%               |
| Wtd. Avg. Deal-Level Gross/Net EM <sup>2</sup>  | 1.41x / 1.29x     | 1.42x / 1.30x               |

## Portfolio Composition<sup>1</sup>



<sup>1</sup>There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein. Includes investments that closed or were signed up post-Q1. <sup>2</sup>For performance returns and net returns calculation methodology disclosures and alternate returns scenarios, please see Slide Specific Footnotes. For current pay footnote, please see Slide Specific Footnotes.

# CRED III Investment & Capital Activity

| Investment Activity Overview                                                           |                   |                             |
|----------------------------------------------------------------------------------------|-------------------|-----------------------------|
|                                                                                        | December 31, 2025 | March 31, 2026 <sup>1</sup> |
| # of Closed Investments                                                                | 28                | 33                          |
| Total Capital Committed to Closed Investments                                          | \$529.2           | \$625.1                     |
| <i>% of Capital Committed to Closed Investments*</i>                                   | 65.1%             | 76.9%                       |
| Number of Closed + Executed Term Sheet Investments <sup>2</sup>                        | 31                | 36                          |
| Total Capital Committed to Closed + Executed Term Sheet Investments <sup>2</sup>       | \$607.6           | \$699.9                     |
| <i>% of Capital Committed to Closed + Executed Term Sheet Investments<sup>2*</sup></i> | 74.7%             | 86.0%                       |
| Number of Realized Investments                                                         | 3                 | 4                           |

\* As a % of Fund commitments.

| Capital Activity Overview                           |                   |                |
|-----------------------------------------------------|-------------------|----------------|
|                                                     | December 31, 2025 | March 31, 2026 |
| Investor Capital Commitments                        | \$813.4           | \$813.4        |
| Total Capital Called                                | \$368.8           | \$471.5        |
| <i>% of Total Capital Commitments Called</i>        | 45.3%             | 58.0%          |
| Total Distributions                                 | \$145.3           | \$174.0        |
| <i>Distributions as a % of Total Capital Called</i> | 39.4%             | 36.9%          |

Note: \$ in millions. Figures may not total exactly due to rounding.

Note: As of 3/31/2026, unless otherwise stated. It is not known whether, and there can be no guarantee that, these opportunities are representative of those which will be available in the future.

<sup>1</sup>Includes investments that closed or were signed up post-Q1. <sup>2</sup>There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein.

# CRED III Portfolio Detail

|                     | Investment                           | Closing Date | Investment Type  | Property Type   | City          | State       | CRED III Allocation |
|---------------------|--------------------------------------|--------------|------------------|-----------------|---------------|-------------|---------------------|
| Closed <sup>1</sup> |                                      |              |                  |                 |               |             |                     |
| 1                   | Freddie Mac KF134 B Piece            | Apr-22       | Security         | Multifamily     | Diversified   | Diversified | \$25.7              |
| 2                   | 365 Bond Mezz B                      | Sep-22       | Mezzanine Loan   | Multifamily     | Brooklyn      | NY          | \$29.1              |
| 3                   | Freddie Mac KF145 B Piece            | Nov-22       | Security         | Multifamily     | Diversified   | Diversified | \$19.4              |
| 4                   | 35 Stone                             | Nov-22       | Mezzanine Loan   | Office          | Seattle       | WA          | \$27.3              |
| 5                   | South Tryon Flats                    | Dec-22       | Preferred Equity | Multifamily     | Charlotte     | NC          | \$20.0              |
| 6                   | Parkstone at Indian Land             | Jan-23       | Preferred Equity | Multifamily     | Indian Land   | SC          | \$14.8              |
| 7                   | Freddie Mac KF151 B Piece            | Feb-23       | Security         | Multifamily     | Diversified   | Diversified | \$21.9              |
| 8                   | Wynhouse                             | Jun-23       | Senior Loan      | Multifamily     | Miami         | FL          | \$18.0              |
| 9                   | Sunnyside Studio Campus <sup>2</sup> | Jul-23       | Senior Loan      | Studio Campus   | Queens        | NY          | \$37.0              |
| 10                  | One22One                             | Aug-23       | Senior Loan      | Office          | Nashville     | TN          | \$24.5              |
| 11                  | Navona                               | Oct-23       | Preferred Equity | Multifamily     | Mesa          | AZ          | \$31.2              |
| 12                  | Towerview at Ballantyne              | Feb-24       | Preferred Equity | Multifamily     | Charlotte     | NC          | \$12.6              |
| 13                  | 745 4th Avenue                       | Mar-24       | Senior Loan      | Multifamily     | Brooklyn      | NY          | \$14.7              |
| 14                  | The Valiant                          | Sep-24       | Preferred Equity | Student Housing | Berkeley      | CA          | \$10.0              |
| 15                  | Aer Lamar                            | Nov-24       | Preferred Equity | Multifamily     | Austin        | TX          | \$24.8              |
| 16                  | Inspire Sonoran Desert               | Dec-24       | Preferred Equity | Multifamily     | Phoenix       | AZ          | \$26.4              |
| 17                  | American House Oak Park              | May-25       | Senior Loan      | Senior Housing  | Oak Park      | IL          | \$7.6               |
| 18                  | Artisan Oaks                         | May-25       | Senior Loan      | Multifamily     | Santa Clarita | CA          | \$4.1               |
| 19                  | SaltAire                             | May-25       | Senior Loan      | Multifamily     | Torrance      | CA          | \$4.4               |
| 20                  | 2900 Terrace                         | Jun-25       | Mezzanine Loan   | Multifamily     | Miami         | FL          | \$52.5              |
| 21                  | The Saint Grand                      | Jul-25       | Senior Loan      | Multifamily     | Chicago       | IL          | \$12.8              |
| 22                  | Ferncliff                            | Jul-25       | Preferred Equity | Multifamily     | Melville      | NY          | \$18.9              |
| 23                  | Freddie Mac KF126 B Piece            | Jul-25       | Security         | Multifamily     | Various       | Other       | \$7.9               |
| 24                  | Arya                                 | Aug-25       | Senior Loan      | Multifamily     | Los Angeles   | CA          | \$6.9               |
| 25                  | Freddie Mac 2025-MN12                | Nov-25       | Security         | Multifamily     | Various       | Other       | \$6.0               |
| 26                  | The Bouldin & 1301 S Lamar           | Dec-25       | Senior Loan      | Mixed-Use       | Austin        | TX          | \$17.8              |
| 27                  | Nova Tallahassee                     | Dec-25       | Senior Loan      | Student Housing | Tallahassee   | FL          | \$7.1               |
| 28                  | Bridge Point                         | Feb-26       | Senior Loan      | Industrial      | Philadelphia  | PA          | \$25.9              |
| 29                  | MSCR 2026-MN13                       | Mar-26       | Security         | Multifamily     | Various       | Other       | \$2.3               |
| 30                  | La Sierra                            | Mar-26       | Senior Loan      | Multifamily     | Riverside     | CA          | \$26.7              |
| 31                  | Adela at MiMo Bay Phase II           | Apr-26       | Senior Loan      | Multifamily     | Miami         | FL          | \$27.9              |
| 32                  | Atlanta Rambler                      | Apr-26       | Senior Loan      | Student Housing | Atlanta       | GA          | \$5.5               |
| 33                  | Hamilton Green                       | May-26       | Preferred Equity | Multifamily     | White Plains  | NY          | \$33.6              |
| Closed Total        |                                      |              |                  |                 |               |             | \$625.1             |

Note: As of 3/31/2026, unless otherwise stated. \$ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. <sup>1</sup> Includes investments that were closed or signed up post-Q1. <sup>2</sup> Subsequent to quarter-end, the Sponsor and Canyon entered into a PNA to discuss the restructuring of the loan as a result of the upcoming initial maturity in July 2026, and the inability of the property to satisfy the loan's extension conditions. The range of outcomes under discussion include a takeover of the property by Canyon or a restructure and modified extension of the loan. The negotiations are ongoing and the outcome – which is likely to indicate a decrease in the value of CRED III's position – will be reflected in the 2Q26 reporting.

# CRED III Portfolio Detail

| Investment                         | Closing Date | Investment Type  | Property Type | City      | State | CRED III Allocation |
|------------------------------------|--------------|------------------|---------------|-----------|-------|---------------------|
| Executed Term Sheet <sup>1,2</sup> |              |                  |               |           |       |                     |
| 34 McKinney + Boll                 | -            | Preferred Equity | Multifamily   | Dallas    | TX    | \$26.3              |
| 35 Mission Grove                   | -            | Senior Loan      | Multifamily   | Riverside | CA    | \$21.3              |
| 36 521 S Wilmington                | -            | Preferred Equity | Multifamily   | Raleigh   | NC    | \$27.2              |
| Executed Term Sheet Total          |              |                  |               |           |       | <b>\$74.8</b>       |
| Total                              |              |                  |               |           |       | <b>\$699.9</b>      |

Note: As of 3/31/2026, unless otherwise stated. \$ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. <sup>1</sup>Includes investments that were closed or signed up post-Q1. <sup>2</sup>There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein.

# CRED III Portfolio Detail (continued)

|                             | Investment                           | Est. Gross IRR <sup>1,2</sup> | Est. Gross EM <sup>1,2</sup> | Est. Net IRR <sup>1,2</sup> | Est. Net EM <sup>1,2</sup> | Realization Status | Est. Exit Date |
|-----------------------------|--------------------------------------|-------------------------------|------------------------------|-----------------------------|----------------------------|--------------------|----------------|
| Closed <sup>3</sup>         |                                      |                               |                              |                             |                            |                    |                |
| 1                           | Freddie Mac KF134 B Piece            | 12.7%                         | 1.61x                        | 9.7%                        | 1.43x                      | Unrealized         | Mar-32         |
| 2                           | 365 Bond Mezz B                      | 11.3%                         | 1.14x                        | 8.6%                        | 1.10x                      | Realized           | Dec-23         |
| 3                           | Freddie Mac KF145 B Piece            | 20.5%                         | 2.15x                        | 15.7%                       | 1.81x                      | Unrealized         | Jun-32         |
| 4                           | 35 Stone                             | 13.3%                         | 1.62x                        | 10.1%                       | 1.44x                      | Unrealized         | May-29         |
| 5                           | South Tryon Flats                    | 13.6%                         | 1.46x                        | 10.4%                       | 1.33x                      | Unrealized         | Dec-26         |
| 6                           | Parkstone at Indian Land             | 14.4%                         | 1.22x                        | 11.0%                       | 1.15x                      | Realized           | Dec-24         |
| 7                           | Freddie Mac KF151 B Piece            | 21.3%                         | 2.07x                        | 16.3%                       | 1.76x                      | Unrealized         | Jun-32         |
| 8                           | Wynhouse                             | 14.8%                         | 1.20x                        | 11.3%                       | 1.14x                      | Realized           | Mar-26         |
| 9                           | Sunnyside Studio Campus <sup>4</sup> | 15.8%                         | 1.38x                        | 12.0%                       | 1.27x                      | Unrealized         | Jul-27         |
| 10                          | One22One                             | 15.7%                         | 1.28x                        | 12.0%                       | 1.20x                      | Realized           | Oct-25         |
| 11                          | Navona                               | 15.0%                         | 1.48x                        | 11.5%                       | 1.34x                      | Unrealized         | Apr-27         |
| 12                          | Towerview at Ballantyne              | 14.2%                         | 1.62x                        | 10.8%                       | 1.44x                      | Unrealized         | Feb-28         |
| 13                          | 745 4th Avenue                       | 15.0%                         | 1.28x                        | 11.4%                       | 1.20x                      | Unrealized         | Mar-27         |
| 14                          | The Valiant                          | 17.3%                         | 1.40x                        | 13.2%                       | 1.28x                      | Unrealized         | Mar-27         |
| 15                          | Aer Lamar                            | 16.5%                         | 1.58x                        | 12.6%                       | 1.41x                      | Unrealized         | Jun-28         |
| 16                          | Inspire Sonoran Desert               | 15.8%                         | 1.34x                        | 12.1%                       | 1.24x                      | Unrealized         | Sep-28         |
| 17                          | American House Oak Park              | 13.4%                         | 1.39x                        | 10.2%                       | 1.27x                      | Unrealized         | May-28         |
| 18                          | Artisan Oaks                         | 10.7%                         | 1.31x                        | 8.2%                        | 1.22x                      | Unrealized         | May-28         |
| 19                          | SaltAire                             | 11.0%                         | 1.32x                        | 8.4%                        | 1.23x                      | Unrealized         | May-28         |
| 20                          | 2900 Terrace                         | 17.1%                         | 1.36x                        | 13.1%                       | 1.26x                      | Unrealized         | Dec-28         |
| 21                          | The Saint Grand                      | 12.3%                         | 1.26x                        | 9.4%                        | 1.19x                      | Unrealized         | Oct-27         |
| 22                          | Ferncliff                            | 15.6%                         | 1.39x                        | 11.9%                       | 1.28x                      | Unrealized         | Jan-29         |
| 23                          | Freddie Mac KF126 B Piece            | 14.9%                         | 1.45x                        | 11.4%                       | 1.32x                      | Unrealized         | Nov-31         |
| 24                          | Arya                                 | 11.4%                         | 1.33x                        | 8.7%                        | 1.24x                      | Unrealized         | Aug-28         |
| 25                          | Freddie Mac 2025-MN12                | 16.0%                         | 1.93x                        | 12.2%                       | 1.66x                      | Unrealized         | Jun-32         |
| 26                          | The Bouldin & 1301 S Lamar           | 10.9%                         | 1.32x                        | 8.8%                        | 1.24x                      | Unrealized         | Dec-28         |
| 27                          | Nova Tallahassee                     | 13.0%                         | 1.25x                        | 9.9%                        | 1.18x                      | Unrealized         | Dec-27         |
| 28                          | Bridge Point                         | 11.6%                         | 1.33x                        | 8.8%                        | 1.23x                      | Unrealized         | Feb-29         |
| 29                          | MSCR 2026-MN13                       | 16.1%                         | 1.91x                        | 12.3%                       | 1.65x                      | Unrealized         | Jun-32         |
| 30                          | La Sierra                            | 12.4%                         | 1.22x                        | 9.5%                        | 1.15x                      | Unrealized         | Mar-29         |
| 31                          | Adela at MiMo Bay Phase II           | 12.0%                         | 1.21x                        | 9.2%                        | 1.15x                      | Unrealized         | Apr-29         |
| 32                          | Atlanta Rambler                      | 11.7%                         | 1.22x                        | 8.9%                        | 1.16x                      | Unrealized         | Apr-28         |
| 33                          | Hamilton Green                       | 12.2%                         | 1.34x                        | 9.3%                        | 1.24x                      | Unrealized         | May-29         |
| Closed Total / Wtd. Average |                                      | 14.5%                         | 1.42x                        | 11.1%                       | 1.30x                      |                    |                |

Note: \$ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. <sup>1</sup>Returns for closed investments are as of 3/31/2026. For important performance returns, please see Slide Specific Footnotes. Except where indicated as gross, returns are presented net of fees and projected expenses. <sup>2</sup>The returns presented herein anticipate the use of leverage, which has inherent risk and where employed will magnify any potential gains or losses experience by the Fund and/or investment. <sup>3</sup> Includes investments that were closed or signed up post-Q1. <sup>4</sup> Subsequent to quarter-end, the Sponsor and Canyon entered into a PNA to discuss the restructuring of the loan as a result of the upcoming initial maturity in July 2026, and the inability of the property to satisfy the loan's extension conditions. The range of outcomes under discussion include a takeover of the property by Canyon or a restructure and modified extension of the loan. The negotiations are ongoing and the outcome – which is likely to indicate a decrease in the value of CRED III's position – will be reflected in the 2Q26 reporting.

# CRED III Portfolio Detail (continued)

| Investment                                      | Est. Gross IRR <sup>1,2</sup> | Est. Gross EM <sup>1,2</sup> | Est. Net IRR <sup>1,2</sup> | Est. Net EM <sup>1,2</sup> | Realization Status  | Est. Exit Date |
|-------------------------------------------------|-------------------------------|------------------------------|-----------------------------|----------------------------|---------------------|----------------|
| Executed Term Sheet <sup>3,4</sup>              |                               |                              |                             |                            |                     |                |
| 34 McKinney + Boll                              | 13.1%                         | 1.41x                        | 10.0%                       | 1.29x                      | Executed Term Sheet | -              |
| 35 Mission Grove                                | 12.5%                         | 1.23x                        | 9.5%                        | 1.16x                      | Executed Term Sheet | -              |
| 36 521 S Wilmington                             | 14.9%                         | 1.64x                        | 11.4%                       | 1.45x                      | Executed Term Sheet | -              |
| <b>Executed Term Sheet Total / Wtd. Average</b> | <b>13.6%</b>                  | <b>1.44x</b>                 | <b>10.4%</b>                | <b>1.31x</b>               |                     |                |
| <b>Total / Wtd. Average</b>                     | <b>14.4%</b>                  | <b>1.42x</b>                 | <b>11.0%</b>                | <b>1.30x</b>               |                     |                |

Note: \$ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. <sup>1</sup>Returns for closed investments are as of 3/31/2026. For important performance returns, please see Slide Specific Footnotes. Except where indicated as gross, returns are presented net of fees and projected expenses. <sup>2</sup>The returns presented herein anticipate the use of leverage, which has inherent risk and where employed will magnify any potential gains or losses experience by the Fund and/or investment. <sup>3</sup> Includes investments that were closed or signed up post-Q1. <sup>4</sup> There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein.

# Slide Specific Footnotes

## Important Disclosures

This letter contains confidential information and may not be distributed in any form without the express written consent of Canyon Partners Real Estate LLC ("Canyon"). Any indication of interest from prospective investors in response to this letter involves no obligation or commitment of any kind.

This letter does not constitute an offer to sell or a solicitation of an offer to buy securities in any jurisdiction. Canyon does not assume any obligation to update this letter or notify any investor of any change in the information contained herein.

Past performance and/or recent investments are not indicative of future performance or opportunities, and there can be no assurance that comparable results will be achieved in the future. Any investment in Canyon involves significant risk, including the risk of loss of all or a portion of an investment. Actual outcomes and results may differ materially from the returns indicated herein.

This Presentation contains information on expected returns, distributions, including Current Pay, and/or expected realization dates and timelines, such information is presented for illustrative purposes only and are based on various assumptions, not all of which are described herein. A variety of market factors and assumptions may affect this analysis, and this analysis does not reflect all possible scenarios. Hypothetical illustrations, including expected returns and/or expected realization dates and timelines, are necessarily speculative in nature, and it can be expected that some or all of the assumptions underlying the hypothetical illustrations will not materialize or will vary significantly from actual results. Actual results will differ and may vary substantially from the hypothetical illustrations shown. No representation is made that such illustrations are accurate or complete or do not contain errors, or that alternative modeling techniques or assumptions would not be more appropriate or produce significantly different results.

Certain information contained herein constitutes "forward-looking statements," which can be identified by the use of forward-looking terminology such as "may," "will," "should," "expect," "anticipate," "target," "project," "estimate," "intend," "continue" or "believe" or the negatives thereof or other variations thereon or comparable terminology. Due to various risks and uncertainties, actual events or results or the actual performance of the investments may differ materially from those reflected or contemplated in such forward-looking statements. This also includes forward-looking statements relating to Canyon's outlook on such macro issues as the U.S. economy and real estate markets generally. No assurance can be made that such statements, which are solely in the opinion of Canyon, will prove to be accurate, and there is no obligation to update any such statement.

These presentation materials, which are provided for informational purposes only, are intended to be a summary of certain features of Canyon Real Estate Debt Fund III ("CRED III") described herein and do not purport to be a complete description of CRED III or its investment thesis or strategy. Nor are they an offer to sell, or the solicitation of an offer to buy, the securities described herein. For a more complete description of CRED III, please see the Fund's Confidential Offering Memorandum when it becomes available (the "Memorandum"). Any offering may only be made pursuant to the delivery of the Memorandum.

## General Performance Returns Disclosure

Pursuant to amended Rule 206(4)-1 under the Investment Advisers Act (the "Marketing Rule"), all gross extracted and/or hypothetical performance, including targets and projections, within this document must be presented alongside a demonstrative hypothetical net return. In order to address certain anomalies associated with creating a hypothetical net return, we have adjusted certain calculations to more accurately reflect our expected net returns.

As a general matter, the Fund or platform level spreads are applied to underlying investments as a relative percentage change from gross to net for IRRs and equity multiples.

The Fund or platform level's gross to net profit percentage change is applied to the investment's gross IRR to calculate the net IRR (for example, for a Fund with a gross IRR of 20% and net IRR of 15%, the spread would be calculated as  $(20\%-15\%)/20\%=25\%$ . When an investment is profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is deducted from the gross investment IRR to determine the net investment IRR. When an investment is not profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is added to the gross investment IRR to determine the net investment IRR).

Where an Investment is profitable (gross equity multiple is 1.0x and above), consistent with the IRR methodology, the Fund or platform level's gross to net profit percentage change is applied to the Investment's profit to calculate the net equity multiple (for example, for a Fund with a 1.25x gross equity multiple and 1.15x net equity multiple, the spread would be calculated as  $(1.25-1.15)/(1.25-1)=40\%$ . The 40% relative spread would thereby be applied to profit portion of gross positive returns to calculate hypothetical net returns for underlying investments). Where an investment is not profitable (gross equity multiple is less than 1.0x), the Fund or platform level's gross to net percentage change is applied to the Investment's gross equity multiple to calculate the net equity multiple (for example, for the same fund profile previously noted, the spread would be calculated as  $(1.25-1.10)/1.25=12\%$ . The 12% relative spread would thereby be applied the gross equity multiple to calculate a hypothetical net return for such unprofitable underlying investments).

In reviewing net returns for reasonableness, where the net equity multiple is positive and the IRR is negative, the Fund or platform's absolute spread is used in order to calculate the net IRR. Conversely, if the net equity multiple is negative and the IRR is positive, the Fund or platform's absolute spread is used in order to calculate the corresponding net IRR. Please refer to the performance disclosures for specific products and/or return profiles for further information about our net return calculation methodologies.

Past performance is not indicative of future results. All returns presented herein for unrealized investments or Funds which include unrealized investments are target returns. There can be no assurance that such targets will be achieved or that investments will be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Please also refer to the Target Returns disclosure below for further information on how target returns are calculated. Unless otherwise indicated, returns are gross and do not reflect modeled Fund fees and projected expenses. Complete fund, platform and/or account performance records are available upon request.



# Slide Specific Footnotes

## **CRED III Target Returns**

The returns presented herein include unrealized and/or prospective investments and there can be no assurance that investments will materialize and/or be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Returns presented herein are based upon the most current Fund model. CRED III net returns have been calculated using the weighted average gross to net spread of the CRED I, II, and III models using the CRED III performance and management fee structure, and for purposes of normalizing the spread, modeled recycling values have been treated in the same manner as Fund commitments as not to artificially inflate the gross to net spread. Amongst other factors, the model returns contemplate the opportunity set which we believe will be available, prospective asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. Specifically, the Fund model assumes that after the Commitment Period, the total aggregate principal amount of any Recourse Indebtedness (excluding the Credit Facility) will not exceed 50% of the sum of (i) the aggregate Unfunded Commitments and (ii) the aggregate cost (or commitment at acquisition) of the Fund's investments (including, for this purpose, leverage in respect of such investments). In addition, the targeted net return presented herein assumes: (1) a management fee rate of 1.5% of Invested Capital, (2) a 15% incentive fee, and (3) a 16 basis point estimated expense ratio. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Please see the Offering Memorandum for CRED III for a full description of the Fund's terms. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

## **CRED III Investment Examples (Unrealized)**

The returns presented herein include unrealized investments and there can be no assurance that investments be profitable once realized. Returns presented herein are based upon the Asset model. Amongst other factors, model returns contemplate asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule timeline, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

## **CRED III Investments (Realized)**

Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Complete fund and/or account performance records are available upon request. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

## **CRED III Investments (Executed Term Sheet)**

The returns presented herein include executed term sheet investments and there can be no assurance that investments be profitable if/once closed and subsequently realized. Returns presented herein are based upon the Asset model. Amongst other factors, model returns contemplate asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule timeline, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. Complete fund and/or account performance records are available upon request. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

## **Current Pay Footnote**

Current Pay is based on estimated cash flow projections from the Fund's inception to the Fund's final investment's estimated realization date. Current Pay is calculated as the weighted average (weighted by invested amount) of the monthly, annualized, current income generated from investment fees, senior debt interest, and subordinate debt current pay interest (not accruals) divided by the invested amount. Such information is presented for illustrative purposes only and is based upon various assumptions, not all of which are described herein. Hypothetical projections are speculative in nature, and as with all models, actual returns may vary significantly based upon the inputs.

# Slide Specific Footnotes

## **CRED III Projected Alternative Returns Scenarios (Gross/Net) and Definitions**

Unlevered Gross / Net IRR: 14.4% / 10.0%

Unlevered Gross / Net EM Post-Recallable: 1.48x / 1.30x

Levered EM Pre-Recallable: 1.39x / 1.24x

Unlevered EM Pre-Recallable: 1.43x / 1.27x

**Recallable Capital:** Investor contributed capital that has been previously distributed to investors following realization events but is subsequently subject to recall by the fund for reinvestment in accordance with fund terms.

**Recycled Capital:** Investor contributed capital that has been returned to the fund through realization events and is retained by Canyon for reinvestment, rather than being distributed to investors.

**Pre-Recallable EM:** The equity multiple calculated without including returns generated from capital that has been recalled and reinvested after initial distribution. Recycled capital is contemplated in Post-Recallable returns.

**Post-Recallable EM:** The equity multiple calculated including returns generated from capital that has been recalled and reinvested after initial distribution.